

GREEN BRICK PARTNERS, INC.

(NYSE: GRBK)

A well-managed builder priced as though the housing cycle had been abolished

SELL — \$41.00 Target

Equity Research Note · Consumer Cyclical — Residential Construction · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Downside	Risk Rating
SELL	\$41.00	\$66.66	-38.5%	High

Current price as of October 2, 2026 close.

Snapshot

Market cap	~\$2.9 bn (43.0 m sh × \$66.66)	FY2024 net margin (cyclical peak)	18.4%
52-week range	~\$60 – \$83	TTM P/E	~10.7x — the classic peak-E trap
Price / fair value	\$66.66 / \$41.00	Footprint	Sunbelt: Dallas–Fort Worth, other Texas markets, Atlanta, Florida, Colorado
Implied downside	–38.5%	Builder brands	Trophy Signature, CB JENI, Normandy, Southgate, Centre Living, Providence Group, GHO
FY2025 revenue / net income	\$2.04 bn / \$0.31 bn	Next catalyst	Q3 2026 results (late October) — order rates and cancellation rates

1 Investment Thesis

Green Brick Partners is a well-managed Sunbelt homebuilder being valued as though the housing cycle had been abolished. The company has grown impressively — concentrated in Texas and other high-growth Sunbelt markets, with a land-light option model in several divisions and a deserved reputation for operational execution under co-founder and CEO James Brickman. But homebuilding is among the most cyclical industries in the economy, and Green Brick's current earnings reflect cyclical peak conditions: constrained resale supply, elevated prices, and margins fattened by years of underbuilding. On a through-cycle basis — normalizing margins to mid-cycle levels at a 12% discount rate appropriate for a leveraged cyclical — the shares are worth \$41.00, 38.5% below the \$66.66 quote. SELL.

Those peak conditions are normalizing in real time. Affordability sits near historic lows: the combination of elevated home prices and mortgage rates has pushed the monthly payment on a median new home beyond the reach of the median household in Green Brick's core markets. Builders are responding the way they always do — incentives, rate buydowns, and price reductions that compress margins from both ends. Order rates are softening, cancellation rates are rising, and spec inventory is building. The 18.4% net margin of FY2024 was the top of the cycle, not the new normal; our base case glides free-cash-flow margins from today's ~10% toward 8.5% over ten years, and the bear case takes them to 4.5% — because that is what homebuilder margins do in downturns.

The valuation math is unforgiving for cyclical peaks. At \$66.66 the market pays a full multiple of earnings that are themselves at a cyclical high — the late-cycle trap of a low P/E on peak E (~10.7x trailing looks cheap until the E is cut in half). Investors sometimes argue that Green Brick's premium land positions and Texas footprint justify a premium multiple through the cycle. We agree the footprint is superior — which is exactly why the shares should be bought after the downturn impairs lesser builders, not before. Quality homebuilders outperform by surviving downturns with balance sheets intact and buying distressed land from failures; paying peak prices for that quality inverts the entire logic of cyclical investing. The business is good; the cycle is not. Investors are being paid nothing for the downside of owning a

cyclical at the top, and the downside in homebuilding downturns is measured not in multiple compression but in land impairments and earnings collapses. SELL.

Why the market will care (eventually)

- **Peak-E is the whole argument.** ~10.7x trailing earnings looks like value until the earnings are the variable. In the last housing downturn, builder earnings didn't compress — they collapsed, and land impairments did the rest. The multiple is low because the earnings are high, not because the price is low.
- **The leading indicators are already rolling.** Softening order rates, rising cancellations, building spec inventory, and incentives/buydowns compressing margins from both ends — this is the standard sequence, and it is underway.
- **Land-light is a mitigant, not immunity.** The option model in several divisions limits impairment exposure — but option deposits get walked away from, counterparties fail, and earnings still fall when absorption slows. It softens the cycle; it doesn't abolish it.

2 Business Overview — What Green Brick Partners Is Doing

(Plano, Texas; CEO James R. Brickman)

Green Brick Partners is a residential homebuilder focused on high-growth Sunbelt markets: principally the Dallas–Fort Worth metroplex along with other Texas markets, Atlanta, and select Southeast markets including Florida, with a non-controlling interest in a Colorado builder. The company builds single-family homes across move-up and luxury segments through seven subsidiary brands — Trophy Signature Homes, CB JENI Homes, Normandy Homes, Southgate Homes, Centre Living Homes, The Providence Group (Atlanta), and GHO Homes (Florida) — plus related title and mortgage platforms. Chairman David Einhorn co-founded the company; CEO James Brickman has run it since inception.

The operating model blends traditional homebuilding with a land-light option strategy in several divisions: controlling lots through options rather than ownership, which reduces balance-sheet intensity and impairment exposure relative to land-heavy peers. The Texas concentration is both the strength and the concentration risk — DFW's population and job growth underwrite demand, but a Texas-centric downturn (energy, in-migration reversal) hits every division at once.

This is a company we would want to own — after the cycle turns. The reputation for execution, the balance-sheet discipline, and the land-light model are exactly the attributes that let quality builders buy distressed land from failures in downturns. The SELL is a call on price and cycle position, not on management.

What the company is doing now

- **Seven brands, one Sunbelt footprint.** Trophy Signature (scaled from a 2018 start-up to a leading DFW builder), CB JENI, Normandy, Southgate, Centre Living, Providence Group (Atlanta), GHO (Florida) — diversified by brand, concentrated by geography.
- **Land-light option model.** Lot options rather than ownership in several divisions: less capital intensity, less impairment exposure — a genuine structural advantage that softens but does not abolish the cycle.
- **Texas concentration cuts both ways.** DFW and Texas job/population growth are the demand engine — and the correlated risk. A regional downturn impairs every division simultaneously.
- **The downturn playbook is the bull case — later.** Survive with the balance sheet intact, buy distressed land from failures. That logic requires buying after the impairment cycle, not before it.

3 Financial Analysis

\$bn	FY2022	FY2023	FY2024	FY2025
Revenue	1.76	1.75	2.06	2.04
Net income	0.29	0.28	0.38	0.31

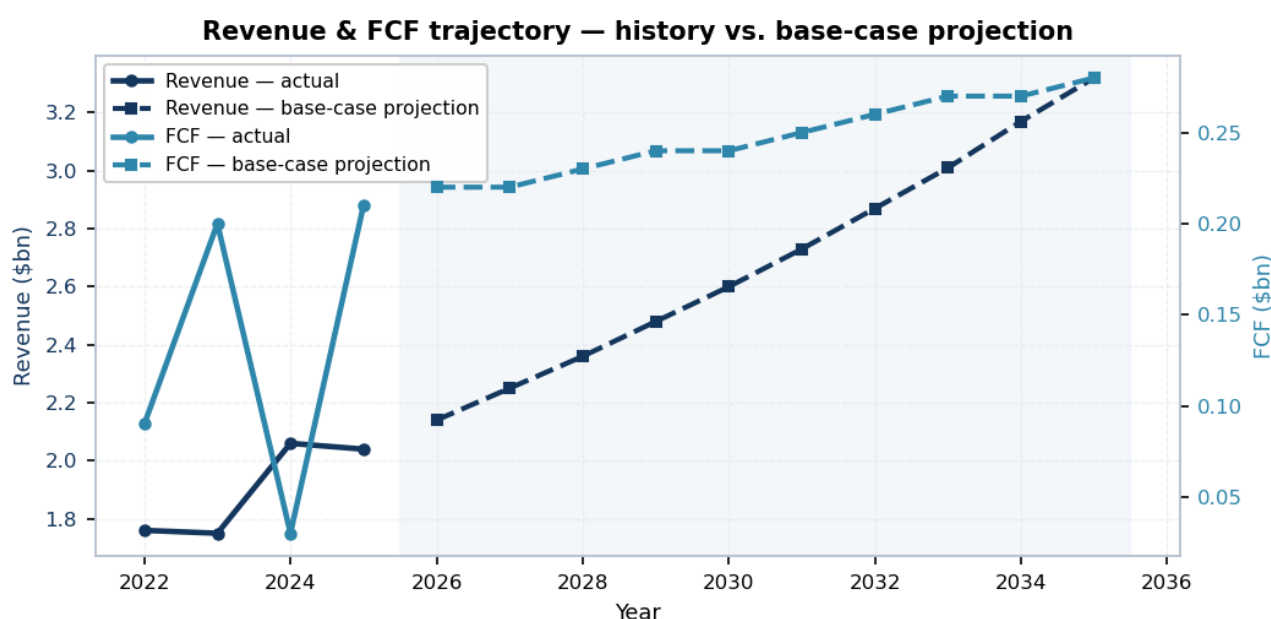
\$bn	FY2022	FY2023	FY2024	FY2025
Net margin	16.5%	16.0%	18.4%	15.2%
Free cash flow (OCF – capex)	0.09	0.20	0.03	0.21
Diluted shares (m)	~43	~43	~43	43.0

Company filings via Yahoo Finance. FY2024's 18.4% net margin marks the cyclical peak; the valuation normalizes margins to mid-cycle levels.

The financial profile is peak-cycle homebuilding. Revenue grew from \$1.76B in FY2022 to \$2.04B in FY2025; net income peaked at \$0.38B in FY2024 (an 18.4% net margin — the cyclical top) and eased to \$0.31B in FY2025. Free cash flow (operating cash flow less capex) has been lumpy — \$0.09B, \$0.20B, \$0.03B, \$0.21B across FY2022–25 — as land investment and working capital swing with the cycle. The ~10.7x trailing P/E is the trap: it prices peak earnings as permanent.

Our scenario DCF discounts at 12% in the base case (14.5% bear, 10.5% bull) — a leveraged cyclical's cost of capital, not a growth company's. Terminal value is 42% of base-case enterprise value; only 18% in the bear case (\$319m equity value — the impairments-and-collapse path) and 53% in the bull. The composition reflects the call: most of the base-case value must come from the explicit ten-year cash flows because the terminal multiple on normalized mid-cycle earnings is modest. At 43.0m diluted shares, the probability-weighted \$41 target sits 38.5% below the quote.

Revenue & cash-flow trajectory

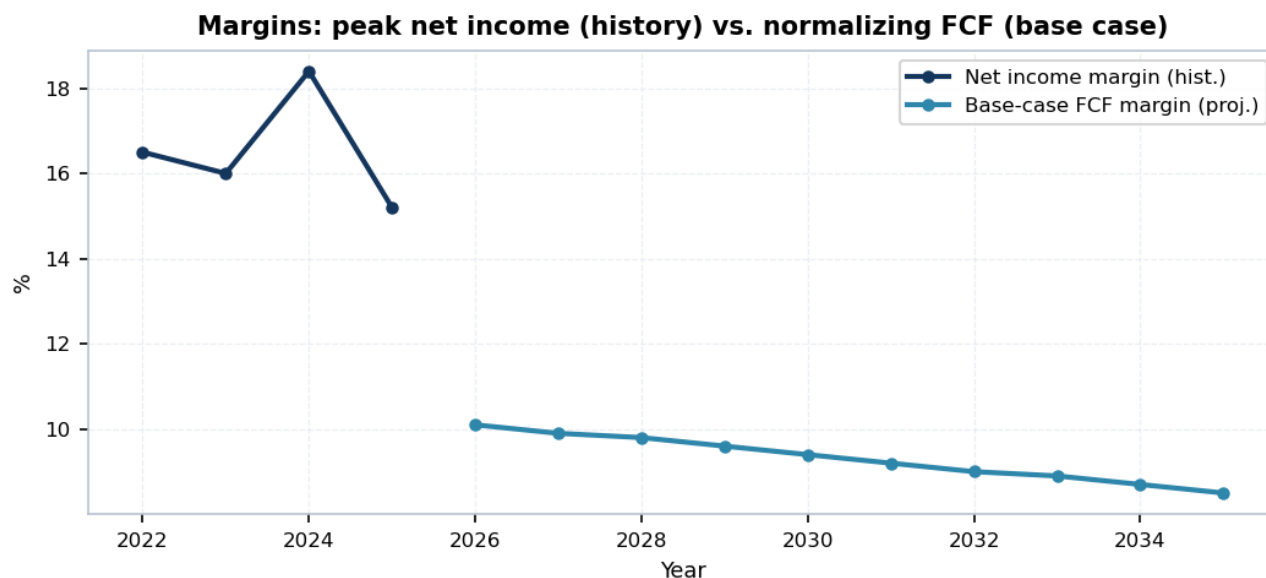


History: company filings via Yahoo Finance (FCF = operating cash flow less capex). Projection: base-case path — revenue at 5% CAGR with free-cash-flow margins gliding from ~10.3% toward mid-cycle 8.5%.

4 Moat & Competition

- **Sunbelt land positions in supply-constrained submarkets.** Premium DFW and Atlanta positions, partly controlled via options — genuinely superior footprint that compounds in upcycles and defends better in downturns.
- **Operator reputation and balance-sheet discipline.** A deserved reputation for execution and a land-light model that limits impairment exposure — the attributes that let quality builders buy distressed land from failures.
- **Scale economies in procurement and mortgage capture.** Seven brands' combined purchasing power and captive title/mortgage platforms add basis points competitors can't match.
- **The moat's limits: cyclicalty dominates everything.** No land position or operator skill prevents earnings from collapsing in a housing downturn — and Texas concentration means the cycle hits every division at once. The moat determines who survives; it doesn't determine the price to pay at the top.

Margins: peak net income (history) vs. normalizing FCF (base case)



5 Valuation — 10-year scenario DCF (through-cycle normalization), Fair Value \$41

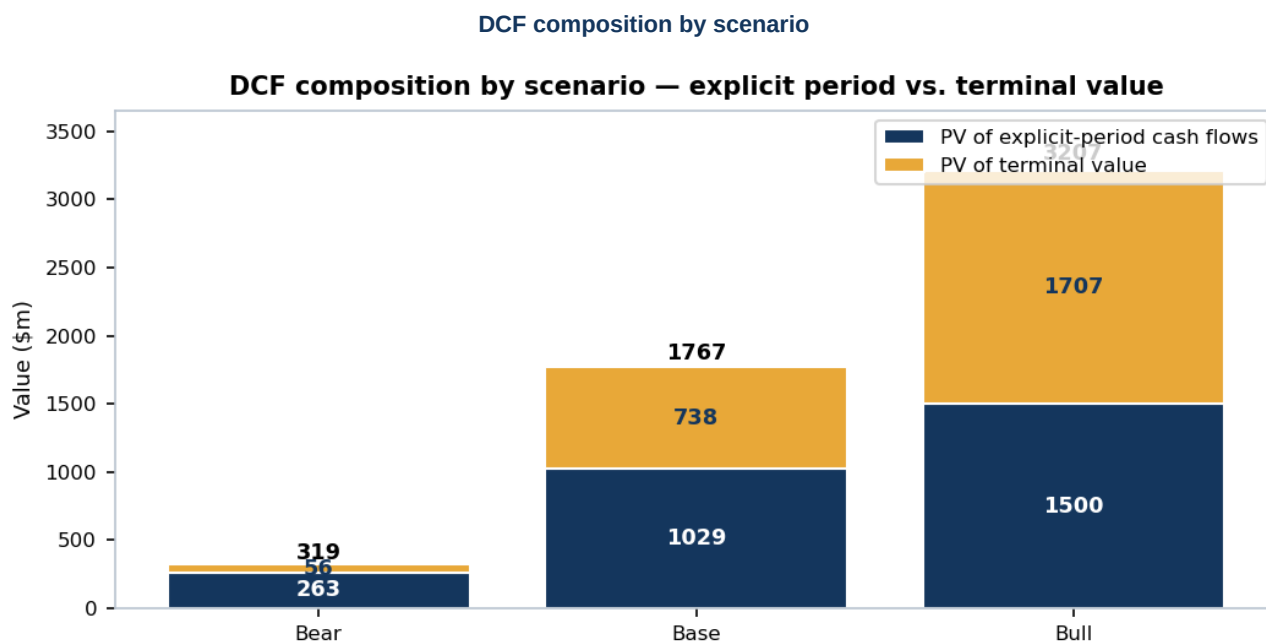
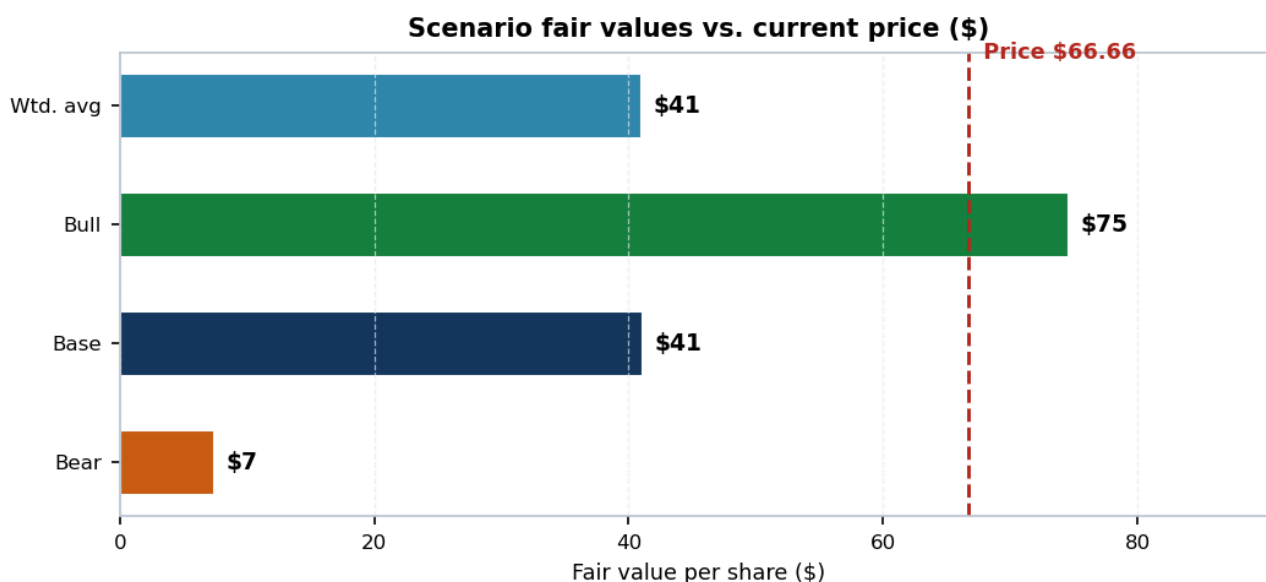
We value Green Brick on a 10-year scenario discounted-cash-flow framework, weighted 25% / 50% / 25%, built on through-cycle normalization — the correct lens for a cyclical at peak earnings. Revenue compounds from the FY2025 \$2.04B base at –0.5% (bear) / +5.0% (base) / +7.0% (bull); free-cash-flow margins glide from the current ~10.3% to 4.5% / 8.5% / 11.0% at year ten. Discount rates are a cyclical's cost of capital: 12% base, 14.5% bear (+250bp), 10.5% bull (–150bp). Terminal growth is 1.0% / 2.5% / 2.5% on year-10 free cash flow at normalized mid-cycle margins.

Scenario fair values: \$7.41 (bear — full housing downturn, impairments, earnings collapse) / \$41.10 (base — orderly normalization to mid-cycle profitability) / \$74.58 (bull — cycle extends on falling rates, affordability restored). The probability-weighted value is \$41.00 — our target, 38.5% below the \$66.66 close. The DCF composition is derived from a stylized 10-year model using these stated parameters, scaled to reconcile exactly to each scenario's equity value at 43.0m diluted shares; terminal value is 17.6% / 41.8% / 53.2% of scenario equity value.

Scenario	Key assumptions	Rev CAGR	End margin	Discount / term. g	TV share	Fair value
Bear	Full housing downturn: revenue –0.5% CAGR; FCF margins collapse to 4.5%; land impairments; 14.5% discount; 1.0% terminal growth.	–0.5%	4.5%	14.5% / 1.0%	18%	\$7.41
Base	Orderly normalization to mid-cycle profitability: +5.0% revenue CAGR; FCF margins glide ~10.3% → 8.5%; 12% discount; 2.5% terminal growth.	+5.0%	8.5%	12.0% / 2.5%	42%	\$41.10
Bull	Cycle extends: rates fall, affordability restored; +7.0% revenue CAGR; FCF margins to 11.0%; 10.5% discount; 2.5% terminal growth.	+7.0%	11.0%	10.5% / 2.5%	53%	\$74.58
Wtd. avg	Probability-weighted (25/50/25) → \$41.00 target					\$41.00

Composition PVs are derived from a stylized 10-year model using the stated scenario parameters (revenue from the FY2025 \$2.04B base; FCF margins gliding from ~10.3% to scenario terminal margins), scaled to reconcile exactly to each scenario's equity value at 43.0m diluted shares.

Scenario fair values vs. current price (\$)



Stacked bars show the present value of explicit-period cash flows (dark) versus the present value of the terminal value (gold), in \$m. A heavy terminal-value share means the call rests on the long run, not the forecast window.

6 Risks & Falsification

Key risks

- **Housing cycle (High).** The #1 risk: affordability near historic lows, softening orders, rising cancellations, building spec inventory. Downturns bring land impairments and earnings collapses, not gentle multiple compression.
- **Texas concentration (High).** DFW and Texas markets dominate; a regional downturn (energy, in-migration reversal) impairs every division simultaneously.
- **Mortgage-rate sensitivity (High).** Elevated rates price the median household out of the median new home in core markets; further increases deepen the affordability crisis.
- **Margin compression (Medium-High).** Incentives, rate buydowns, and price reductions compress from both ends — already underway.

- **Land and option-counterparty risk (Medium).** The land-light model mitigates but doesn't eliminate exposure: option deposits are walked away from and counterparties can fail.
- **Execution on growth (Medium).** Seven brands and rapid scaling (Trophy Signature from 2018 start-up) require sustained operational excellence through a downturn.

What would change our mind

We would revisit the SELL if the cycle's leading indicators reverse together: net new orders re-accelerating with cancellation rates falling back to normal levels, spec inventory clearing without margin sacrifice, and mortgage rates declining enough to restore affordability in the core Texas markets — with gross margins holding as incentives roll off. That combination would mean peak earnings were not the peak, and the shares would deserve a higher multiple on durable earnings. We would cut the target further toward the bear case on evidence of land impairments, order cancellations spiking, or a Texas regional demand shock. We watch: monthly order and cancellation rates, spec inventory levels, incentive spend per closing, and DFW affordability metrics.

7 Methodology

We value Green Brick on a 10-year scenario discounted-cash-flow framework, probability-weighted 25% / 50% / 25%, built on through-cycle normalization: revenue compounds from the current base under scenario CAGRs while free-cash-flow margins glide from current levels to scenario terminal margins (mid-cycle profitability, never peak margins). For cyclicals, anchoring the terminal year to peak earnings is the classic error; we anchor to mid-cycle.

Discount rates are a leveraged cyclical's cost of capital — 12% base, 14.5% bear (+250bp), 10.5% bull (–150bp) — and terminal growth is 1.0% (bear) / 2.5% (base, bull) on year-10 free cash flow. The bear case is required to be genuinely adverse and to sit below the current price; terminal value exceeding 70% of enterprise value is haircut and disclosed (41.8% base, 53.2% bull, 17.6% bear — no haircut required). The DCF composition is derived from a stylized model with the stated parameters, scaled to reconcile to scenario equity values.

The published target is the probability-weighted fair value, stated as a 12-month horizon reference. Risk ratings (Low / Medium / Medium-High / High) combine business volatility, balance-sheet strength, and valuation; High here reflects peak-cycle earnings, housing cyclical, and Texas concentration.

This note is independent research-style analysis for informational purposes only and is not investment advice. Financial figures are drawn from company releases and SEC filings; market data as of October 2, 2026. Projections and the price target are the author's estimates and involve uncertainty. Past performance does not predict future results.